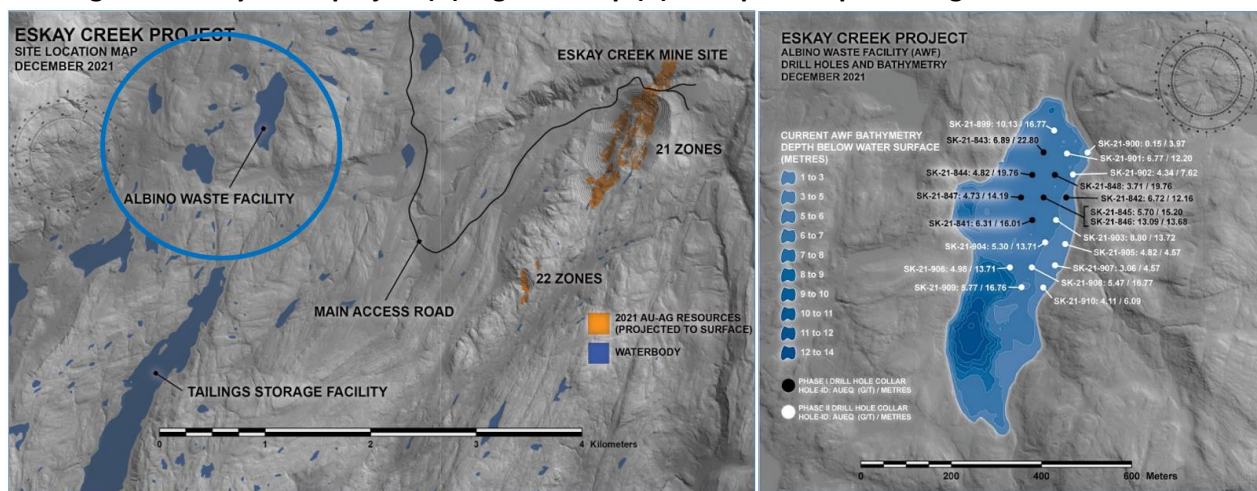


Ticker: SKE CN **Cash:** C\$43m **Project:** Eskay Creek
Market cap: C\$749m **Price:** C\$11.85/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET (unc):** C\$19.50/sh **RISK RATING:** HIGH

With today's 12 composites averaging between 5-10g/t AuEq, including higher grade intervals of **1.5m @ 27.7g/t and 1.5m @ 19.6g/t AuEq**, the combined programs now average an impressive **13.2m TT @ 6.2g/t AuEq** from 20 holes with comparable Hg-As-Sb to Eskay's MRE. Better still, this round of vertical holes expanded the AWF mineralization area to 350 x 125m (still open), with 1Q22 drilling with two rigs on 50m centers. That's where this gets interesting – let's say Albino has 2Mt @ 6g/t, which could drive ~385koz at zero strip (plus other TSFs around), a useful iterative addition already. With satellite optionality already potentially supporting a lift from 350koz pa to 400-500koz pa, this third-source only strengthens that potential and certainly should improve payback. The feed has a 'double win' of being pre-ground, and as 'mining' effectively being a remediation exercise as well, albeit that will require careful planning, and further metallurgical works, albeit these lakes are typically hypoxic, meaning the material remains 'fresh'. As such, we **maintain our 0.8xNAV multiple and C\$19.50/sh PT based** on 65% gearing, although given flexibility on anything from exploration spend to divestments and alternative financing such as silver streaming, this is only an approximation for now. Looking forward, the critical catalyst here is drilling / DFS, working hand in hand to target LOM production approaching 400koz pa AuEq. Permitting could be a material catalyst also as Skeena has truly partnered with the Tahltan to the benefit of all parties.

Figure 1. Eskay Creek project (A) regional map (B) AWF plan map showing recent drill results



Source: Skeena

Albino 'waste' becomes Skeena's treasure with Phase II drilling 16.8m @ 10.1g/t AuEq

Results from 12 holes (212m) of Phase II expansion drilling at the Albino Waste Facility (AWF) highlighted 16.8m @ 10.1g/t AuEq, 13.7m @ 8.8g/t AuEq, and 16.8m @ 5.77g/t AuEq, expanding the overall mineralized area to 350mx125m. To date, Phase I and II programs average 13.2m TT @ 6.2g/t AuEq from 20 holes and with length weighted averages of 39 ppm Hg, 331 ppm As and 922 ppm Sb comparable to Eskay's MRE. An estimated 2Mt of historically sub-economic waste rock (from development) and tailings are believed to be stored at the AWF. Two drills will continue turning through the Phase II drill program on 50m centers into early 1Q22, with 25m center infill thereafter.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- CY21: Regional drilling
- 2H21: Permitting update
- 1Q22: BFS including expanded resource
- 1H22: AWF infill / expansion drilling

Research

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Ticker: SKE CN Author: B Salier/ B Gaspar		Price / mkt cap: C\$11.85/sh, C\$749m Rec / 0.8xNAV PT: BUY, C\$19.5/sh		Project PNAV today: 0.51x 1xNAV_{1Q21} FF FD: C\$23.44/sh		Asset: Eskay Creek / Snip Country: Canada: BC	
Commodity price		CY18A	CY19A	CY20A	CY21E	CY22E	
Gold price		1,850	1,850	1,850	1,850	1,850	
SOTP project valuation*							
		C\$m	O/ship	NAVx	C\$/sh		
Ungeared proj. @ build start (2Q22)		1,692	100%	1.00x	23.62		
Cash 3Q21		43	100%	1.00x	0.60		
Cash from options		85	100%	1.00x	1.19		
Eskay Ck resources ex reserve @US\$50/oz		88	100%	1.00x	1.22		
Snip (US\$75/oz)		61	100%	1.00x	0.85		
Asset NAV5% C\$1850/oz		1,968			27.5		
*Shares diluted for options but not mine build		Market P/NAV5 _{1Q21}		0.45x			
Asset value: 1xNPV project @ build start (C\$m, ungeared)*							
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
10.0% discount		1,507	1,587	1,697	1,807	1,917	
7.5% discount		1,680	1,771	1,894	2,016	2,138	
5.0% discount		1,883	1,987	2,123	2,259	2,395	
Ungeared project IRR:		64%	65%	68%	72%	75%	
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
3.7g/t AuEq		1,554	1,679	1,802	1,927	2,016	
4.1g/t AuEq		1,883	1,987	2,123	2,259	2,395	
4.5g/t AuEq		2,176	2,326	2,476	2,625	2,774	
NPV5 (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
Payability: 67%		1,554	1,679	1,802	1,927	2,016	
Payability: 75%		1,883	1,987	2,123	2,259	2,395	
Payability: 82%		2,176	2,326	2,476	2,625	2,774	
*Project level NPV, excl finance costs and central SG&A, discounted to build start							
Group valuation over time^		4Q21	4Q22	4Q23	4Q24	4Q25	
Eskay Creek (C\$m)		1,669	1,934	2,299	2,204	1,971	
Net cash prior qtr (C\$m)		43	74	(205)	(32)	268	
G&A and finance costs (C\$m)		(179)	(146)	(131)	(109)	(83)	
Cash from options (C\$m)		85	85	85	85	85	
Snip		61	61	61	61	61	
NAV FF FD (C\$m)		1,679	2,007	2,108	2,209	2,302	
1xNAV ₅₅ /sh FF FD (C\$/sh)		23.44^	28.02^	24.36*	25.52*	26.59*	
Equity ROI from spot (% pa)		136%	62%	47%	38%		
Gearing company NAV diluted for mine build, net G&A and finance costs							
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
10.0% discount		19.37	20.60	22.31	24.03	25.75	
7.5% discount		21.15	22.50	24.34	26.18	28.02	
5.0% discount		23.14	24.64	26.62	28.60	30.59	
Gearing project IRR:		58%	59%	63%	66%	69%	
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
Payability: 67%		18.31	20.10	21.87	23.67	24.96	
Payability: 75%		23.14	24.64	26.62	28.60	30.59	
Payability: 82%		27.48	29.67	31.86	34.05	36.25	
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity							
Production		Y1	Y2	Y3	Y4	Y5	
Gold production (000oz)		341	382	431	527	477	
C1 cost (US\$/oz)		509	617	564	503	509	
AISC cost (US\$/oz)		558	665	607	539	548	
AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024							
Resource / Reserve		AuEq (koz)	AuEq (g/t)				
Pittable resource		5425koz	4.17g/t				
Underground resource		224koz	5.41g/t				
Snip		646koz	13.60g/t				
Funding: uses			Funding: sources				
PFS capex		C\$448m	3Q21 cash + options*	C\$74m			
SCPe G&A to 1st Au + ABX \$		C\$24m	Mine debt @ 65% gearing	C\$291m			
SCPe pre-production expl'n		C\$30m	Mine build equity at 0.6xNAV	C\$235m			
SCPe finance costs + wkg cap		C\$57m	Total proceeds	C\$600m			
Total uses		C\$558m	Buffer	C\$42m			
*Cash from options expiring pre first pour							
Share data							
Basic shares (m)		63.2	FD with build equity raise	86.5			
FD with options (m)		71.6					
Ratio analysis		CY21E	CY22E	CY23E	CY24E	CY25E	
Average shares out (m)		91.1	81.2	83.7	83.7	83.7	
EPS (C\$/sh)		-	-	-	3.79	3.07	
CFPS (C\$/sh)		-	-	-	3.74	3.66	
EV (C\$m)		1,056.0	957.2	1,265.6	991.8	991.8	
FCF yield (%)		-	-	-	32%	31%	
PER (x)		-	-	-	3.1x	3.9x	
P/CF (x)		-	-	-	3.2x	3.2x	
EV/EBITDA (x)		-	-	-	2.1x	2.0x	
Income statement		CY21E	CY22E	CY23E	CY24E	CY25E	
Net revenue (C\$m)		-	-	-	661.3	741.2	
Gross profit (C\$m)		-	-	-	496.3	524.8	
D&A, attrib (C\$m)		0.2	-	-	54.2	62.5	
Admin (C\$m)		20.8	16.0	16.0	16.0	16.0	
Expensed exploration (C\$m)		92.1	15.0	-	-	-	
Finance cost (C\$m)		(0.2)	-	(4.6)	23.1	17.5	
Royalty (C\$m)		-	-	-	12.1	13.6	
Forex, other (C\$m)		(9.1)	-	-	-	-	
Taxes (C\$m)		-	-	-	73.8	158.2	
Net income (C\$m)		(103.8)	(31.0)	(11.3)	317.1	257.2	
Cash flow, attrib.		CY21E	CY22E	CY23E	CY24E	CY25E	
EBIT (C\$m)		(104.0)	(31.0)	(16.0)	414.0	432.8	
Add back D&A (C\$m)		0.2	-	-	54.2	62.5	
Less tax + net interest (C\$m)		(0.2)	-	(4.6)	96.9	175.6	
Net change in wkg cap (C\$m)		(5.9)	-	-	(52.5)	(6.3)	
Add back other non-cash (C\$m)		3.7	6.5	6.5	6.5	6.5	
Cash flow ops (C\$m)		(105.7)	(24.5)	(4.8)	325.4	319.9	
PP&E - build + sust. (C\$m)		(8.1)	(229.3)	(258.7)	(12.6)	(14.0)	
PP&E - expl'n (C\$m)		(0.5)	-	(15.5)	-	-	
Cash flow inv. (C\$m)		(8.6)	(229.3)	(274.2)	(12.6)	(14.0)	
Share issue (C\$m)		96.0	235.0	-	-	-	
Proceeds from sale (C\$m)		5.0	-	-	-	-	
Debt draw (repay) (C\$m)		-	97.1	194.1	-	(97.1)	
Cash flow fin. (C\$m)		101.0	332.1	194.1	-	(97.1)	
Net change in cash (C\$m)		(13.3)	78.3	(84.8)	312.8	208.9	
EBITDA (C\$m)		(103.6)	(31.0)	(16.0)	468.2	495.3	
Balance sheet		CY21E	CY22E	CY23E	CY24E	CY25E	
Cash (C\$m)		25.6	103.9	19.1	331.8	540.7	
Acc rec., inv, prepaid (C\$m)		7.3	7.3	7.3	53.0	63.0	
PP&E + other (C\$m)		101.0	330.4	604.5	562.9	514.4	
Total assets (C\$m)		134.0	441.6	630.9	947.7	1,118.2	
Debt (C\$m)		1.6	98.7	292.8	292.8	195.7	
Accounts payable (C\$m)		16.7	16.7	16.7	9.9	13.7	
Others (C\$m)		7.4	7.4	7.4	7.4	7.4	
Total liabilities (C\$m)		25.7	122.7	316.9	310.1	216.8	
Sh'hlds equity + wmts (C\$m)		335.9	577.4	583.9	590.4	597.0	
Retained earn'gs + rsvs (C\$m)		(227.6)	(258.6)	(269.9)	47.2	304.4	
Liabilities + equity (C\$m)		134.0	441.6	630.9	947.7	1,118.2	

Source: SCP estimates

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NEUTRAL: The stock's total returns are expected to be in line with the overall market

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Summary of Recommendations as of December 2021	
BUY:	48
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	1
NOT RATED:	0
TOTAL	49

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